CASCADIA ANALYTICS

INVESTMENT SCORECARD

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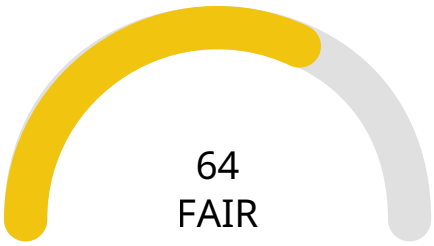
Amazon.com, Inc. (NASDAQ)

As-of: 2026-10-18 | Latest Filing: 10-Q Q2 FY2026 | Currency: USD

$$250.00 [Mkt 18-Oct-26]

Market Cap: $2.70T [Mkt 18-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 72

AWS reaccelerating (37%, fastest in 18 quarters), ads +26%, TTM operating cash flow $161.4B (+33%). Offset: company is FCF-negative (-$7.6B TTM) at the peak of a $220B AI capex cycle, and consolidated margins still lean on AWS to carry thin retail.

2. Recent Trend — 78

AWS growth has climbed five straight quarters (16.9% to 37%); contracted backlog more than doubled to $496B; Q2 revenue $200.6B with operating income guide-up. FY2025 delivered $716.9B revenue (+12%) and $80.0B operating income (11.2% margin).

3. Forward Growth — 80

AI compute scarcity favors the scaled incumbent; the Talen nuclear deal buys grid independence; Anthropic's $100B+ ten-year AWS commitment locks in demand; advertising grows 26% at very high margins. Structural multi-year drivers across all three profit engines.

4. Valuation — 35

DCF base $141.72 vs $250 spot implies 43% downside; even the bull case ($211.05) sits below the price. The market is pricing ~14% terminal FCF margins versus our 10.5% base, leaving no room for capex overruns or AWS deceleration.

5. Catalysts & Risk — 60

Q3 print on Oct 29, 2026 is the near-term test of AWS momentum vs capex. Key risks: $220B AI capex must earn returns,

the FTC ad-pricing lawsuit overhangs the fastest-growing profit pool, and the multiple derates sharply on any guide-down.

Investment Thesis

- **AWS reacceleration is real:** 37% growth, the fastest in 18 quarters, with a $496B backlog that more than doubled and a $100B+ ten-year Anthropic commitment. Compute scarcity reprices the incumbent's fleet higher [Research, Mkt 18-Oct-26].
- **The capex cycle masks the earnings power:** TTM operating cash flow is $161.4B (+33%) while FCF is -$7.6B; the $220B AI build is the entire debate. FY2025 still delivered $80.0B operating income at an 11.2% margin [Mkt 18-Oct-26].
- **The price demands perfection:** Our DCF base is $141.72 vs $250 spot, and even the bull case ($211.05) sits below the price. The market prices ~14% terminal FCF margins; we model 10.5%. Hold, Valuation Concerns [DCF, Mkt 18-Oct-26].

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (LTM)	$775.7B [Mkt 18-Oct-26]	+12% FY25 [Mkt 18-Oct-26]	Up
AWS Q2-2026 revenue	$42.2B [Mkt 18-Oct-26]	+37% YoY [Mkt 18-Oct-26]	Up
AWS contracted backlog	$496B [Mkt 18-Oct-26]	More than doubled [Mkt 18-Oct-26]	Up
Operating cash flow (TTM)	$161.4B [Mkt 18-Oct-26]	+33% YoY [Mkt 18-Oct-26]	Up
Free cash flow (TTM)	-$7.6B [Mkt 18-Oct-26]	AI capex cycle [Mkt 18-Oct-26]	Down
Net Debt Position	$66.2B net debt [Mkt 18-Oct-26]	$153.0B debt / $86.8B cash [Mkt 18-Oct-26]	Stable

Historical Financial Trend

Metric	FY22	FY23	FY24	FY25	LTM
Revenue ($B)	514.0 [Mkt 18-Oct-26]	574.8 [Mkt 18-Oct-26]	638.0 [Mkt 18-Oct-26]	716.9 [Mkt 18-Oct-26]	775.7 [Mkt 18-Oct-26]
Revenue growth %	9% [Mkt 18-Oct-26]	12% [Mkt 18-Oct-26]	11% [Mkt 18-Oct-26]	12% [Mkt 18-Oct-26]	~8% [Mkt 18-Oct-26]
Operating income ($B)	12.2 [Mkt 18-Oct-26]	36.9 [Mkt 18-Oct-26]	68.6 [Mkt 18-Oct-26]	80.0 [Mkt 18-Oct-26]	n/a [Mkt 18-Oct-26]
Free cash flow ($B)	n/a [Mkt 18-Oct-26]	n/a [Mkt 18-Oct-26]	38.2 [Mkt 18-Oct-26]	11.2 [Mkt 18-Oct-26]	-7.6 [Mkt 18-Oct-26]
AWS revenue growth %	29% [Mkt 18-Oct-26]	13% [Mkt 18-Oct-26]	19% [Mkt 18-Oct-26]	19.7% [Mkt 18-Oct-26]	37% (Q2) [Mkt 18-Oct-26]

Valuation

Absolute (3/10)

DCF Base $141.72 [DCF 18-Oct-26]
DCF Blended $134.46 [DCF 18-Oct-26]
DCF Bull $211.05 [DCF 18-Oct-26]
EV/Revenue (LTM) 3.6x [Mkt 18-Oct-26]

Base case implies 43% downside at $250. Even the bull case sits below spot: the market prices ~14% terminal FCF margins versus our 10.5% base. Valuation is the binding constraint on the rating.

Versus Peers (4/8)

Peer multiples not pulled in this build [N/A]

Absolute DCF is the binding valuation input; the 43% downside to base stands on its own.

Versus History (4/7)

EV/Revenue 3.6x on LTM revenue [Mkt 18-Oct-26]

Multiple sits above the historical range for a retailer but below peak cloud multiples; it prices sustained AWS acceleration plus a full capex normalization.

Catalyst Timeline

Oct 29, 2026 [Mkt 18-Oct-26]
Q3 earnings. AWS growth rate and the trajectory of 2026 capex ($220B guided) in focus.

Ongoing [Research]
AWS capacity additions vs contracted demand; Trainium and Graviton each past $25B annual run rate.

FY26 [Mkt 18-Oct-26]
FCF normalization path as the AI buildout peaks; FY2025 FCF was $11.2B, TTM is -$7.6B.

What Would Change Our Score

AWS growth holding above 35% with 2026 capex peaking at or below the $220B guide would support a higher target. A capex guide-up paired with AWS decelerating below 25% would break the margin-expansion case and cut the target further.

Top Risk Factors (Item 1A)

1. AI capex ROI: 2026 cash capex guided to $220B (raised from $200B) with TTM FCF at -$7.6B. If AI returns disappoint, the spending is sunk and the multiple compresses. [Mkt 18-Oct-26]

2. Elevated expectations: At $250 the stock prices ~14% terminal FCF margins, well above our 10.5% base case. Any AWS deceleration or margin stall would likely trigger a sharp derating from 3.6x EV/Revenue. [DCF 18-Oct-26]

3. Regulatory overhang: FTC ad-pricing lawsuit alleges inflated seller fees; advertising (+26% YoY, ~$20B/quarter) is the highest-margin growth engine and the case could take years to resolve. [Mkt 18-Oct-26]

Forward Growth Drivers

- AWS AI supercycle: Q2 2026 revenue $42.2B, up 37% YoY, the fastest growth in 18 quarters; contracted backlog more than doubled to $496B. Compute scarcity reprices the incumbent's fleet higher. [Research]
- Talen Energy $1.8B nuclear acquisition secures grid-independent power, turning data center build moratoriums into a moat against tier-two cloud providers. [Research]
- Advertising $19.8B in Q2, up 26% YoY and outgrowing total sales; the highest-margin growth engine in the portfolio. [Mkt 18-Oct-26]
- Anthropic committed to spend more than $100B with AWS over ten years, locking in contracted demand visibility. [Mkt 18-Oct-26]

Missing / Modified Data Log

This scorecard is for educational and informational purposes only. It is not financial, investment, or tax advice, and nothing here is a recommendation to buy or sell any security. It is generated by an AI model and does not consider your individual circumstances. All figures are approximate, may be out of date, and are not guaranteed to be accurate. Verify independently and consult a licensed professional before investing. You are responsible for your own investment decisions.

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